

UPSC INDIAN POLITY

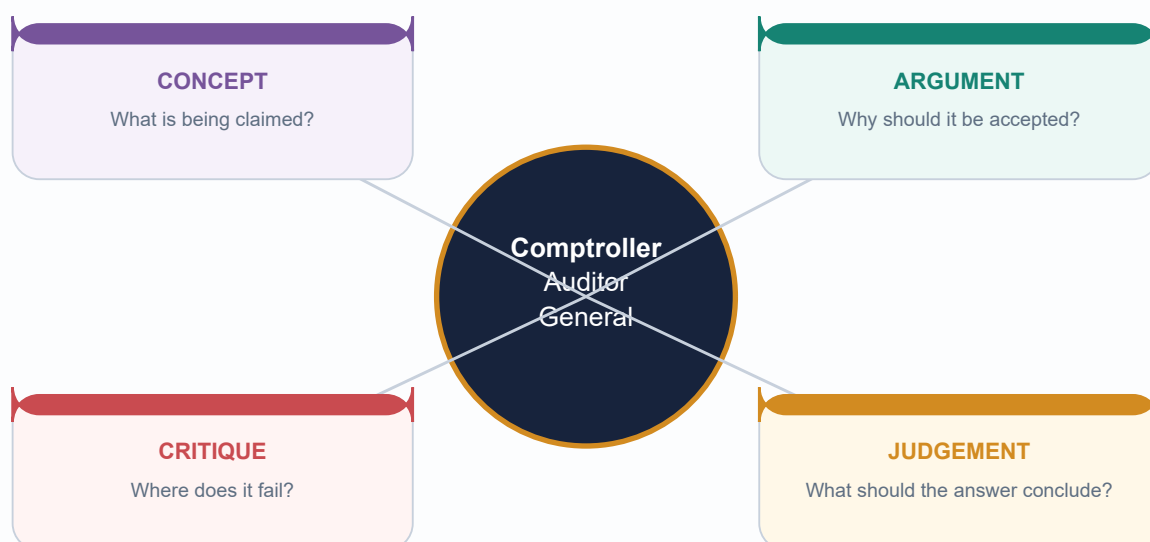
# Comptroller & Auditor General (CAG) (Articles 148–151) — ADVANCED / COMPLETE Deep-Learning Visual Notes

Indian Polity · GS Paper II · Prelims + Mains

Layer 1: Basic foundation · Layer 2: Advanced constitutional and exam depth

Sources: CAG.md + 32\_CAG.md

Learning cards: 18



Facts from official sources | Inferences clearly marked | No fabricated data

## HIGH UPSC RELEVANCE

HIGH

## Foundation · Core Foundation

GS-II Indian  
Polity

## INTRO &amp; ORIGIN

greater than **Subject:** Polity · **Tier:** Basic (foundation) · **GS-II***Foundation learning layer: concepts → constitutional detail → UPSC application.*

## STATIC THEORY

• greater than □ = from book · □ = current link · □ = mnemonic. *Deep dive → advanced/32\_CAG.md.*

## MEMORY HOOK

greater than □ = from book · □ = current link · □ = mnemonic. *Deep dive → advanced/32\_CAG.md.*

## MUST-KNOW FACTS

1. greater than = from book · □ = current link · □ = mnemonic. *Deep dive → advanced/32\_CAG.md.*

## MAINS ANGLE

## STUDY LINK

Comptroller &amp; Auditor General (CAG) (Articles 148–151) — ADVANCED / COMPLETE → Core Foundation

HIGH

## Foundation · Snapshot

GS-II Indian  
Polity

## INTRO &amp; ORIGIN

Structured comparison from the foundation source layer.

## KEY DATA

| Item         | Fact                                           |
|--------------|------------------------------------------------|
| Articles     | <b>148–151</b> (+ 279 net proceeds)            |
| Appointed by | <b>President</b>                               |
| Term         | <b>6 years or 65 years</b> , whichever earlier |
| Removal      | Like a <b>Supreme Court judge</b>              |
| Law          | <b>CAG's (DPC) Act, 1971</b>                   |

## MAINS ANGLE

## STUDY LINK

Comptroller &amp; Auditor General (CAG) (Articles 148–151) — ADVANCED / COMPLETE → Snapshot

HIGH

## Foundation · Core idea

GS-II Indian  
Polity

## INTRO &amp; ORIGIN

The CAG is the **"guardian of the public purse"** and an **agent of Parliament** — he audits all government spending and reports to the legislature, securing executive financial accountability. Ambedkar called him **"the most important officer under the Constitution."**

*Foundation learning layer: concepts → constitutional detail → UPSC application.*

## CORE IDEA: RECALL MAP

## Core idea



|                                                                                                                                                                             |                                                                                                                                        |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------|
| <b>Dimension 1</b><br>The CAG is the "guardian of the public purse" and an agent of Parliament — he audits all government spending and reports to the legislature, securing | <b>Dimension 2</b><br>greater than □ Comptroller in name only — India's CAG audits after spending (no control over money issue, unlike |
| <b>Dimension 3</b><br>greater than Britain).                                                                                                                                | <b>Dimension 4</b><br>greater than □ Reports: Centre → President → Parliament; State → Governor → State Legislature.                   |

## STATIC THEORY

- greater than □ **Comptroller in name only** — India's CAG audits **after** spending (no control over money issue, unlike
- greater than Britain).
- greater than □ **Reports: Centre → President → Parliament; State → Governor → State Legislature.**

## MEMORY HOOK

greater than Comptroller in name only — India's CAG audits after spending (no control over money issue, unlike | greater than Reports: Centre → President → Parliament; State → Governor → State Legislature.

## MAINS ANGLE

## STUDY LINK

Comptroller & Auditor General (CAG) (Articles 148–151) — ADVANCED / COMPLETE → Core idea

HIGH

## Foundation · Must-Know Facts

GS-II Indian  
Polity

## INTRO &amp; ORIGIN

- Salary = **Supreme Court judge**; expenses **charged on the CFI**.

*Foundation learning layer: concepts → constitutional detail → UPSC application.*

## MUST-KNOW FACTS: RECALL MAP

## Must-Know Facts

|                                                                                                                              |                                                                                                                    |
|------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------|
| <b>Dimension 1</b><br><input type="checkbox"/> Salary = Supreme Court judge; expenses charged on the CFI.                    | <b>Dimension 2</b><br><input type="checkbox"/> Not eligible for any further govt office after retirement.          |
| <b>Dimension 3</b><br><input type="checkbox"/> Three reports: Appropriation Accounts, Finance Accounts, Public Undertakings. | <b>Dimension 4</b><br><input type="checkbox"/> Guide, friend & philosopher of the PAC (Public Accounts Committee). |

## STATIC THEORY

- ☐ **Not eligible for any further govt office** after retirement.
- ☐ Three reports: **Appropriation Accounts, Finance Accounts, Public Undertakings**.
- ☐ **Guide, friend & philosopher of the PAC** (Public Accounts Committee).
- ☐ **Legal/regulatory audit** = obligatory; **propriety audit** = discretionary.
- ☐ **RBI, LIC, SBI, FCI** are exclusively **privately audited** (CAG not involved).

## MUST-KNOW FACTS

1. Salary = **Supreme Court judge**; expenses **charged on the CFI**.
2. **Not eligible for any further govt office** after retirement.
3. Three reports: **Appropriation Accounts, Finance Accounts, Public Undertakings**.
4. **Guide, friend & philosopher of the PAC** (Public Accounts Committee).
5. **Legal/regulatory audit** = obligatory; **propriety audit** = discretionary.
6. **RBI, LIC, SBI, FCI** are exclusively **privately audited** (CAG not involved).

## MAINS ANGLE

## STUDY LINK

Comptroller & Auditor General (CAG) (Articles 148–151) — **ADVANCED / COMPLETE** → Must-Know Facts

HIGH

Foundation • ☐ Current linkGS-II Indian  
Polity

## NEWS TRIGGER

- ☐ ☐ ☐ Debate on extending CAG audit to **PPP projects, off-budget borrowings & PM-CARES**; demand for a **collegium-style appointment** to strengthen the CAG's independence.

## INTRO &amp; ORIGIN

Exam-ready treatment of ☐ Current link.

*Foundation learning layer: concepts → constitutional detail → UPSC application.*

## MAINS ANGLE

## STUDY LINK

Comptroller & Auditor General (CAG) (Articles 148–151) — ADVANCED / COMPLETE → [□](#)  
Current link

HIGH

## Advanced • Core Foundation

GS-II Indian  
Polity

## INTRO &amp; ORIGIN

greater than **Subject:** Polity · **Tier:** Advanced (exam depth) · **GS Paper:** GS-II

*Advanced learning layer: concepts → constitutional detail → UPSC application.*

## CORE FOUNDATION: RECALL MAP

## Core Foundation

|                                                                                                                                                            |                                                                                                                                              |
|------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Dimension 1</b><br>greater than Subject: Polity · Tier: Advanced (exam depth) ·<br>GS Paper: GS-II                                                      | <b>Dimension 2</b><br>greater than Grounded in: Indian Polity by M. Laxmikant, Ch. 51 (direct check of the local Sixth Revised Edition PDF). |
| <b>Dimension 3</b><br>greater than <a href="#">□</a> = from source book · <a href="#">□□</a> = inference / case law · <a href="#">□</a> = current affairs. | <b>Dimension 4</b><br>greater than Companion: basic/CAG.md.                                                                                  |

## STATIC THEORY

- greater than **Grounded in:** Indian Polity by M. Laxmikant, Ch. 51 (direct check of the local Sixth Revised Edition PDF).
- greater than [□](#) = from source book · [□□](#) = inference / case law · [□](#) = current affairs.
- greater than *Companion: basic/CAG.md.*

## MUST-KNOW FACTS

1. greater than = from source book · [□□](#) = inference / case law · [□](#) = current affairs.

## MAINS ANGLE

## STUDY LINK

Comptroller & Auditor General (CAG) (Articles 148–151) — ADVANCED / COMPLETE → [□](#)  
Core Foundation

HIGH

Advanced • THE BIG PICTURE [□](#)GS-II Indian  
Polity

## INTRO &amp; ORIGIN

[□](#) **Art 148** provides an independent **CAG** — head of the **Indian Audit & Accounts Department**, the "**guardian of the public purse**." **Dr. Ambedkar** called the CAG "**the most important officer under the Constitution**." One of the **bulwarks of democracy** (along with the **Supreme Court**, **Election Commission**, **UPSC**).

*Advanced learning layer: concepts → constitutional detail → UPSC application.*

**MUST-KNOW FACTS**

1. Art 148 provides an independent **CAG** — head of the **Indian Audit & Accounts Department**, the "guardian of the public purse." Dr. Ambedkar called the CAG "the most important officer under the Constitution." One of the **bulwarks of democracy** (along with the **Supreme Court, Election Commission, UPSC**).

**MAINS ANGLE****STUDY LINK**

Comptroller & Auditor General (CAG) (Articles 148–151) — **ADVANCED / COMPLETE** → **THE BIG PICTURE** □

**HIGH****Advanced · PART A — APPOINTMENT, TERM & REMOVAL** □

GS-II Indian Polity

**INTRO & ORIGIN**

Structured comparison from the advanced source layer.

**KEY DATA**

| Point          | Detail                                                                                                                                                                |
|----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| □ Appointed by | <b>President</b> (warrant under hand & seal)                                                                                                                          |
| □ Term         | <b>6 years or 65 years</b> , whichever earlier                                                                                                                        |
| □ Removal      | Same manner as a <b>Supreme Court judge</b> (special-majority resolution of both Houses, proved misbehaviour/incapacity) — <b>not</b> during the President's pleasure |
| □ Resignation  | To the President                                                                                                                                                      |

**MAINS ANGLE****STUDY LINK**

Comptroller & Auditor General (CAG) (Articles 148–151) — **ADVANCED / COMPLETE** → **PART A — APPOINTMENT, TERM & REMOVAL** □

**HIGH****Advanced · PART B — INDEPENDENCE** □

GS-II Indian Polity

**INTRO & ORIGIN**

□ **Security of tenure** (removed only by the constitutional procedure).

*Advanced learning layer: concepts → constitutional detail → UPSC application.*

## PART B — INDEPENDENCE □: RECALL MAP

## PART B — INDEPENDENCE □

|                                                                                                                                           |                                                                                                                                                     |
|-------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Dimension 1</b><br><input type="checkbox"/> Security of tenure (removed only by the constitutional procedure).                         | <b>Dimension 2</b><br><input type="checkbox"/> NOT eligible for any further office under the Centre or a state after his term (stricter than UPSC). |
| <b>Dimension 3</b><br><input type="checkbox"/> Salary = a Supreme Court judge; determined by Parliament; can't be varied to disadvantage. | <b>Dimension 4</b><br><input type="checkbox"/> Salaries/expenses of the CAG's office are charged on the Consolidated Fund of India (non-votable).   |

## STATIC THEORY

- ☐ **NOT eligible for any further office** under the Centre or a state after his term (stricter than UPSC).
- ☐ Salary = a **Supreme Court judge**; determined by Parliament; can't be varied to disadvantage.
- ☐ Salaries/expenses of the CAG's office are **charged on the Consolidated Fund of India** (non-votable).
- ☐ **No minister** can represent the CAG in Parliament or take responsibility for his actions.

## MUST-KNOW FACTS

1. **Security of tenure** (removed only by the constitutional procedure).
2. **NOT eligible for any further office** under the Centre or a state after his term (stricter than UPSC).
3. Salary = a **Supreme Court judge**; determined by Parliament; can't be varied to disadvantage.
4. Salaries/expenses of the CAG's office are **charged on the Consolidated Fund of India** (non-votable).
5. **No minister** can represent the CAG in Parliament or take responsibility for his actions.

## MAINS ANGLE

## STUDY LINK

Comptroller & Auditor General (CAG) (Articles 148–151) — **ADVANCED / COMPLETE** →  
 PART B — INDEPENDENCE □

HIGH

## Advanced · PART C — DUTIES & POWERS (Art 149–151) □ · Part 1

 GS-II Indian  
 Polity

## INTRO &amp; ORIGIN

- ☐ **CAG's (DPC) Act, 1971** (amended 1976 — separated **accounts from audit**). The CAG audits:

*Advanced learning layer: concepts → constitutional detail → UPSC application.*

## PART C — DUTIES &amp; POWERS (ART 149–151) □: RECALL MAP

## PART C — DUTIES &amp; POWERS (Art 149–151) □

|                                                                                                               |                                                                                                            |
|---------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------|
| <b>Dimension 1</b><br>□ CAG's (DPC) Act, 1971 (amended 1976 — separated accounts from audit). The CAG audits: | <b>Dimension 2</b><br>All expenditure from the Consolidated Fund of India / states / UTs-with-legislature. |
| <b>Dimension 3</b><br>Contingency Fund & Public Account of India and states.                                  | <b>Dimension 4</b><br>Trading/manufacturing/P&L/balance-sheet accounts of departments.                     |

## STATIC THEORY

- All expenditure from the **Consolidated Fund** of India / states / UTs-with-legislature.
- **Contingency Fund & Public Account** of India and states.
- Trading/manufacturing/P&L/balance-sheet accounts of departments.
- **Receipts & expenditure; bodies substantially financed** from govt revenue; **government companies** & other corporations (per law).
- □ **Advises the President** on the **form of accounts** (Art 150).

## MUST-KNOW FACTS

1. **CAG's (DPC) Act, 1971** (amended 1976 — separated **accounts from audit**). The CAG audits:
2. **Advises the President** on the **form of accounts** (Art 150).

## MAINS ANGLE

## STUDY LINK

Comptroller & Auditor General (CAG) (Articles 148–151) — **ADVANCED / COMPLETE** → PART C — DUTIES & POWERS (Art 149–151) □

HIGH

## Advanced • PART C — DUTIES &amp; POWERS (Art 149–151) □ • Part 2

GS-II Indian Polity

## INTRO &amp; ORIGIN

- Submits audit reports on **Centre** → **President** → **Parliament (Art 151)**; on a **\*\*state** → Governor → State

*Advanced learning layer: concepts → constitutional detail → UPSC application.*

## STATIC THEORY

- Legislature\*\*.
- □ Ascertains & certifies the **net proceeds** of any tax (Art 279) — certificate is **final**.
- □ **Guide, friend & philosopher of the Public Accounts Committee (PAC)**.
- □ **Three audit reports** to the President: (1) **Appropriation Accounts** (actual vs sanctioned expenditure), (2) **Finance Accounts** (annual receipts & disbursements), (3) **Public Undertakings**.



**MUST-KNOW FACTS**

1. Submits audit reports on **Centre** → **President** → **Parliament (Art 151)**; on a **\*\*state** → Governor → State
2. Ascertains & certifies the **net proceeds** of any tax (Art 279) — certificate is **final**.
3. **Guide, friend & philosopher of the Public Accounts Committee (PAC)**.
4. **Three audit reports** to the President: (1) **Appropriation Accounts** (actual vs sanctioned expenditure), (2) **Finance Accounts** (annual receipts & disbursements), (3) **Public Undertakings**.

**MAINS ANGLE****STUDY LINK**

Comptroller & Auditor General (CAG) (Articles 148–151) — **ADVANCED / COMPLETE** → **PART C — DUTIES & POWERS** (Art 149–151) □

**HIGH**

## Advanced · PART D — ROLE, TYPES OF AUDIT & LIMITATIONS □□ · Part 1

GS-II Indian Polity

**INTRO & ORIGIN**

- CAG is an **agent of Parliament**, responsible **only to Parliament** — secures executive accountability.

*Advanced learning layer: concepts → constitutional detail → UPSC application.*

**PART D — ROLE, TYPES OF AUDIT & LIMITATIONS □□: RECALL MAP**

### PART D — ROLE, TYPES OF AUDIT & LIMITATIONS □□

|                                                                                                                           |                                                                                                                                  |
|---------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------|
| <b>Dimension 1</b><br>□ CAG is an agent of Parliament, responsible only to Parliament — secures executive accountability. | <b>Dimension 2</b><br>□ Legal/regulatory audit (was money legally available & properly spent?) is obligatory; propriety          |
| <b>Dimension 3</b><br>audit (wisdom, faithfulness, economy — wastefulness/extravagance) is discretionary.                 | <b>Dimension 4</b><br>□□ Comptroller in name only: unlike Britain's CAG, India's CAG has no control over the issue of money from |

**STATIC THEORY**

- □ **Legal/regulatory audit** (was money legally available & properly spent?) is **obligatory**; **\*\*propriety**
- audit (**wisdom, faithfulness, economy — wastefulness/extravagance**) is discretionary**\*\***.
- □□ **Comptroller in name only**: unlike Britain's CAG, India's CAG has **no control over the issue of money** from
- the Consolidated Fund — he audits **after** the expenditure (Auditor-General role only, **not** Comptroller).
- □ **Secret service expenditure** is a **limitation** — he accepts a certificate from the competent authority, not
- particulars.

**MUST-KNOW FACTS**

1. CAG is an **agent of Parliament**, responsible **only to Parliament** — secures executive accountability.
2. **Legal/regulatory audit** (was money legally available & properly spent?) is **obligatory**; \*\*propriety
3. **Secret service expenditure** is a **limitation** — he accepts a certificate from the competent authority, not

**MAINS ANGLE****STUDY LINK**

Comptroller & Auditor General (CAG) (Articles 148–151) — ADVANCED / COMPLETE → PART D — ROLE, TYPES OF AUDIT & LIMITATIONS □□

**HIGH****Advanced · PART D — ROLE, TYPES OF AUDIT & LIMITATIONS □□ · Part 2**

GS-II Indian Polity

**INTRO & ORIGIN**

□□ **Appleby's criticism**: wanted the CAG's office abolished — called auditing "repressive/negative," a colonial

*Advanced learning layer: concepts → constitutional detail → UPSC application.*

**STATIC THEORY**

• inheritance.

**MAINS ANGLE****STUDY LINK**

Comptroller & Auditor General (CAG) (Articles 148–151) — ADVANCED / COMPLETE → PART D — ROLE, TYPES OF AUDIT & LIMITATIONS □□

**HIGH****Advanced · CAG & public corporations (3 categories)**

GS-II Indian Polity

**INTRO & ORIGIN**

(i) **Audited fully by CAG** (e.g., ONGC, Air India, DVC); (ii) **private auditors + CAG supplementary audit** (e.g., IFC); (iii) **exclusively private audit** — CAG not involved (e.g., RBI, LIC, SBI, FCI).

*Advanced learning layer: concepts → constitutional detail → UPSC application.*

**MAINS ANGLE****STUDY LINK**

Comptroller & Auditor General (CAG) (Articles 148–151) — ADVANCED / COMPLETE → CAG & public corporations (3 categories) □

HIGH

## Advanced • UPSC Traps

GS-II Indian  
Polity

## INTRO &amp; ORIGIN

controlling power, unlike Britain).

*Advanced learning layer: concepts → constitutional detail → UPSC application.*

## UPSC TRAPS

**WRONG:** The CAG both controls and audits the Consolidated Fund

**CORRECT:** in practice he is **only Auditor-General** (no

**WRONG:** CAG audits state accounts and reports to Parliament

**CORRECT:** state reports go to the **Governor** → **State Legislature**.

**WRONG:** CAG can take another government job after retirement

**CORRECT:** **barred** from any further Centre/state office.

**WRONG:** Propriety audit is compulsory

**CORRECT:** it is **discretionary** (only legal/regulatory audit is obligatory).

**WRONG:** CAG audits RBI/LIC/SBI

**CORRECT:** these are **exclusively private-audited** (CAG not involved).

**WRONG:** CAG's term is fixed at 6 years only

**CORRECT:** **6 years or 65**, whichever earlier.

**WRONG:** CAG is removed by the President at pleasure

**CORRECT:** removed **only** like a Supreme Court judge.

## MAINS ANGLE

## STUDY LINK

Comptroller & Auditor General (CAG) (Articles 148–151) — **ADVANCED / COMPLETE** → UPSC Traps

HIGH

## Advanced • CA hooks

GS-II Indian  
Polity

## NEWS TRIGGER

□ □ □ Debate on bringing **PPP projects, off-budget borrowings & PM-CARES** under CAG audit — audit-jurisdiction gaps. □ □ □ CAG **performance audits** (e.g., health schemes, highway-project costing) triggering accountability.

## INTRO &amp; ORIGIN

□ □ □ Demand for a **collegium-style appointment** of the CAG to bolster independence (executive-only appointment

*Advanced learning layer: concepts → constitutional detail → UPSC application.*

**STATIC THEORY**

- criticised).

**MAINS ANGLE****STUDY LINK**

Comptroller & Auditor General (CAG) (Articles 148–151) — **ADVANCED / COMPLETE** → ☐  
CA hooks

**HIGH****Advanced · Mains angles****GS-II** Indian  
Polity**INTRO & ORIGIN**

Exam-ready treatment of Mains angles.

*Advanced learning layer: concepts → constitutional detail → UPSC application.*

**MAINS ANGLE**

*"The CAG is a Comptroller only in name." Examine, comparing with the British model. Should the CAG's appointment be de-linked from the sole discretion of the executive? Propriety vs regulatory audit — how far should the CAG question the "wisdom" of policy?*

**STUDY LINK**

Comptroller & Auditor General (CAG) (Articles 148–151) — **ADVANCED / COMPLETE** →  
Mains angles

**HIGH****Advanced · Verified PYQ application****GS-II** Indian  
Polity**INTRO & ORIGIN**

Exam-ready treatment of Verified PYQ application.

*Advanced learning layer: concepts → constitutional detail → UPSC application.*

**MAINS ANGLE**

☐ **2024 GS-II Q4 (10 marks, 150 words):** "The duty of the Comptroller and Auditor General is not merely to ensure the legality of expenditure but also its propriety. Comment." Route: mandatory legal/regulatory audit -greater than discretionary propriety audit (wisdom, faithfulness and economy) -greater than performance audit -greater than preserve policy choice while exposing waste, conflict and avoidable expenditure.

**STUDY LINK**

Comptroller & Auditor General (CAG) (Articles 148–151) — **ADVANCED / COMPLETE** →  
Verified PYQ application

End of Register Notes — UPSC Agent / Copilot CLI